

Table 13.8 Performance and Failures Over Time for Bull Markets

Description	Up Breakout	Down Breakout
1990s	38%	−16%
2000s	42%	−11%
2010s	38%	−13%
Performance (above), Failures (below)		
1990s	14%	27%
2000s	19%	43%
2010s	21%	34%

Table 13.9 shows busted pattern performance. If you're unfamiliar with busted patterns, consult the Glossary (“Busted pattern”).

Busted patterns count. Downward breakouts bust twice as often as do upward breakouts.

Busted occurrence. I sorted busted patterns into three types (single, double, and more than twice). Single busted patterns happen most often, which is a blessing because they also perform best. Actually, I didn't measure the individual performance of the other two, so I'm guessing.

Busted and non-busted performance. I wanted to know if a busted pattern performs better than a non-busted one, so I compared them. In other pattern types, the results are closer than I expected except for single busted patterns. They nearly always beat the non-busted pattern performance. We see that trend in this table, too, for wedges. It's especially true after a downward busted pattern. Single busted patterns soar an average of 65% compared to a rise of just 39% for non-busted patterns. That's a huge difference.

There is a catch. The pattern has to single bust and not double or triple+ bust. Unfortunately, I haven't found a way to determine if a pattern will single, double, or triple+ bust.